

DATE: 20110117

SUPERIOR COURT OF JUSTICE

HEARD: December 7, 8, 9, 10 and 13, 2010

[1] In September 2001, the Plaintiff retained the Defendant to handle her disability claim against Clarica Life Insurance Company (“Clarica”). The issue for trial is whether she also retained him to pursue a tort claim and/or an accident benefits claim arising out of a motor vehicle incident that occurred on April 10, 2001. The Plaintiff submits that she did. The Defendant states that his only retainer was with respect to the disability claim. If the court agrees with the Defendant that the retainer was for the disability claim only, the Plaintiff’s alternate submission is that the Defendant was still obliged to advise her of the nature of these other potential claims and the applicable limitation periods, and that he failed to do so.

[2] The issues of causation and damages have been bifurcated to proceed at another time, depending upon the outcome of this trial.

[3] The following background facts are not in dispute. The Plaintiff was a passenger in the back seat of a vehicle driven by her brother-in-law on April 10, 2001. In order to give him directions, she undid her seatbelt momentarily and leaned forward between the front seats just as the car hit a pothole. The impact threw her into the air and she landed down heavily on the rear seat. The Plaintiff has never returned to work after this incident. She used up her available sick days and then applied for and obtained short term disability benefits from Clarica. For a month, from about mid June to mid July 2001, Clarica discontinued payments to her. Although her payments were reinstated, she decided to contact a lawyer because she felt she had sustained damages due to the interruption in coverage and because she did not want it to happen again. On August 2, 2010, she contacted the Defendant by telephone.

[4] The Defendant was a lawyer in good standing and had experience in settling disability claims. He also practiced in other areas of the law, including personal injuries arising from motor vehicle accidents. He and the Plaintiff spoke for about 30 minutes during the August 2nd telephone call. The Plaintiff began by outlining her complaints against Clarica. At a certain point the Defendant asked her how her disability had arisen. She described the motor vehicle incident to him. The Defendant told her that she might have a claim against her brother-in-law, but the Plaintiff said she did not want to sue him. The Defendant asked her if she had applied for accident benefits and she said she had not. He suggested that she put the driver on notice by registered mail with the request that he contact his insurer on her behalf and she said she would do so. The next day the Plaintiff did send such a registered letter to her brother-in-law with this request. She asked him to have the insurer contact her directly and provided her coordinates for this purpose.

[5] The telephone call concluded by the Defendant asking the Plaintiff to forward her documents to him. He would review them and get in touch with her. Both agree that there was no retainer at this point in time.

[6] The Plaintiff mailed a package to the Defendant which contained a copy of her letter to her brother-in-law, a list of contacts which showed his address to be in British Columbia, an overview of the incident itself and various documents including her disability application, some medical reports and a note she had forwarded to Clarica outlining the damages she felt she had sustained during the period of nonpayment.

[7] By September 13, 2001, the Defendant had reviewed the materials and wrote to the Plaintiff. The "Re" line of the letter referenced "Disability Claim." His letter included the following points.

In our conversation you had told me the reason you wanted to retain my services was to assist you, or negotiate for compensation because Clarica stopped paying benefits for a period approximately 4 weeks between June - July 17, 2001. ... I

would like clarification from you as to what exactly you would like me to do at this point. ... Kindly clarify for me what steps you would like me to take on your behalf specifically. I am also going to require from you a signed Direction and Authorization to obtain medical information and information from Clarica, copies of which are attached for your signature.

[8] The Plaintiff wrote back on September 15, 2001. In her letter she stated,

At this point in time, I am asking that you issue a legal claim to Clarica on my behalf for damages to my health and finances during the period of June-July 17, 2001. ... This claim should also include compensation for ongoing damages as Clarica continued to withhold payments from August 20 – August 31, after being advised of my escalated health problems and treatment required.

[9] The Defendant was thereby retained to deal with Clarica and did so. As time went on, his instructions included to negotiate a buyout with Clarica of the Plaintiff's long-term disability claim, which he did. This settlement was documented in November 2003. Payment was completed in January 2004. Other than assisting the Plaintiff with an unrelated Small Claims Court matter that was concluded within a month or so, there was no further contact at all between the parties until December 2004.

[10] The Plaintiff describes the December meeting as a chance encounter where the topic of the accident benefits came up. In the result, the Plaintiff forwarded the Defendant some materials the next day and he made inquiries from her brother-in-law's insurer on her behalf. The insurer took the position that the matter was prescribed, and the Defendant reported this to the Plaintiff.

Positions of the Parties

[11] The Defendant says that the only retainer between the parties was for the disability claim and is in writing in the form of the letters exchanged between himself and the Plaintiff, dated September 13 and 15, 2001. The Plaintiff says that these letters are only part of the retainer and that she also retained the Defendant to handle all her legal matters arising from her injuries. To the extent that the other terms of the retainer are oral or ambiguous, she submits that they should be interpreted in her favour. Alternatively, she submits that even if the only retainer was for the disability claim, the Defendant still owed her a duty to advise her with respect to other potential claims and that he did not do so. In particular, she alleges that his duty included advising her with respect to the two year limitation period for a motor vehicle claim and that she should claim accident benefits from Thrifty Car Rental's insurer, rather than the driver's own insurer ICBC.

The Retainer

[12] There are significant factual disputes with respect to the retainer. The Plaintiff says that during the initial telephone call in August 2001, she made it clear to the Defendant that she

wanted to retain him on all matters arising out of the motor vehicle incident and to recover compensation from whatever source available to her. She testified that she relied completely on his expertise to guide her. The Plaintiff agrees that there was no retainer reached on August 2 and that she was waiting to hear back from the Defendant. She explains the restriction of their correspondence on September 13 and 15 to the Clarica disability issue by stating that she understood that the Defendant had only advised her on that aspect of her case, and that she was still waiting to hear from him with respect to the other two matters, namely the potential motor vehicle claim and the accident benefits claim. She explains that she directed her brother-in-law to have his insurer respond to her directly not because she intended to handle that aspect herself, but only as a temporary arrangement, which she assumed the Defendant would redirect to himself after a retainer was reached on those matters.

[13] I accept the testimony of the Defendant that during the August 2 telephone call the Plaintiff told him that she did not want to sue her brother-in-law. The Plaintiff admits that she said this. I also accept the Defendant's testimony that he also raised the question of accident benefits with the Plaintiff at that early stage and that she did say then that she would handle this herself. The Plaintiff made it clear at her examination for discovery that the Defendant had asked her about both a possible suit against her brother-in-law and about accident benefits. She gave these answers in relation to the August 2 telephone call.

He asked me if I wished to sue my brother-in-law. I stated no, my brother-in-law had insurance coverage and that's when he told me to send a registered letter to the driver stating and requesting insurance information and my intent to make a claim.

...

When he asked me if I wanted to sue my brother in law, I took it as a direct personal lawsuit for driver at fault and the driver was not at fault.

...

I did not want to sue him. I wanted to make a legal claim through his policy number for that coverage.

She then clarified that by "that coverage" she meant accident benefit coverage.

[14] The Plaintiff also admitted in her examination for discovery that she had known about accident benefits before talking to the Defendant in August (she said she had called her brother-in-law about this in May 2001) and that she knew by May/August that there were two claims she could make, one against an at fault driver and one against an insurance company for accident benefits.

[15] Further in the letter dated August 2 that she sent to her brother-in-law, the Plaintiff specifically asks that the insurer's response be faxed to herself and provides her neighbour's fax number for this purpose. This is clearly consistent with a finding that at that time she was intending to handle this herself.

[16] Accordingly I find that there was nothing specific in the August 2 telephone call between the parties that could be construed even as an indication that the Plaintiff wanted to hear back from the Defendant as to whether he would accept a retainer from her on matters other than the disability claim.

[17] The Plaintiff's testimony with respect to the September 13 and 15 letters was inconsistent. She stated that she understood the Defendant's September 13 letter to mean that he was retained and that he was dealing with the motor vehicle claim and the disability claim. She said she had this understanding because he had asked for information on both; she had sent it; and, he had taken her as a client. But, the Plaintiff also testified with respect to her September 15 letter that she thereby gave him the go ahead on Clarica and that she understood that his acceptance of her motor vehicle claim was still under review by him and he would get back to her. She later testified that she was still waiting to hear back from him in the spring of 2003.

[18] There never was any subsequent letter or communication from the Defendant with respect to either a motor vehicle or accident benefits claim retainer and the Plaintiff has no explanation as to how she could have reasonably come to the conclusion that she had retained him with respect to these matters on which he never did get back to her.

[19] The Plaintiff also testified that between the fall of 2001 and December 2003, she made repeated calls to the Defendant's office inquiring as to the status of her motor vehicle claim. I do not accept this testimony. The Defendant's legal assistant testified with respect to her record keeping as to telephone calls or voice messages she received in the office in the form of a carbon copy telephone log and she had no record of any such calls. Nor were there any time dockets indicative of the Defendant having received such calls.

[20] The Plaintiff admitted that she did not discuss the motor vehicle claim with the Defendant on the occasions when the Clarica buyout was being settled because she was "overwhelmed" and because "he had clear instructions from me." She does not point to a time between the spring of 2003 and November/December 2003 when these "clear instructions" were given.

[21] There was a telephone call between the parties on September 21, 2001. The Plaintiff's lawyer described this conversation as "pivotal" because of the vastly different accounts of it given by each party. The Plaintiff said she had called into the office early that morning because of a notice received from Clarica that there would be a one month gap between the end of the STD and the commencement of her LTD benefits. In her testimony, she stated that this was the main focus of the discussion. However, this particular notice had not yet been received and could not have been discussed on that particular date. When pointed to a letter from Clarica indicative of her not having that information until October 5, 2001 the Plaintiff insisted that she had received an earlier notice. She did produce an earlier pay stub from Clarica which stated that her benefits had been approved until September 16, 2001. She had interpreted this to mean that no payments would be made after that date and therefore there would be a "gap." In response to the next question, namely, that was not the gap that had she had previously described, she insisted that there was no discrepancy essentially because a gap is a gap.

[22] I find that the Plaintiff was confused in her recollection with respect to this aspect of the conversation and that this reflects on the reliability of her testimony as to other aspects of it.

[23] The Plaintiff denied any discussion on this day of the retainer, of who referred her to the Defendant, of the possibility of her suing her brother-in-law, of limitation periods or thresholds. I accept the Defendant's testimony that he did cover these issues with the Plaintiff in accordance with his stated intention to do so in his previous memo to file dated September 20 wherein he noted: "NB: better speak to her again re: Schedule B's and Tort action. She does not instruct to proceed on it." He testified that he meant to go over her instructions again with her because she had not made any specific reference to accident benefits or to a motor vehicle claim in her September 15 letter to him. Plaintiff's counsel forcefully suggested that the duration of the telephone call, docketed at .20 of one hour would not have allowed for all the points outlined in the memo to file to have been covered. The Defendant disagreed. He said that because the Plaintiff confirmed that she did not wish him to pursue the other claims, it did not take very long. He also noted that the memo to file was really his memo to himself and that he had not used the formal language of the memo, such as words like "threshold issues," in his discussion with the Plaintiff.

[24] The Defendant made a memo to file of the September 21 telephone conversation. In it he records that he spoke to the Plaintiff as follows:

Discussed the possibility for suing her brother-in-law again. Advised her of threshold issues, time limitations and damages. She hasn't changed her view, and is adamant not to get into litigation with family. Explained that it really would be against him in name only – his insurance company would run the matter {doesn't seem to care}.

[25] I am satisfied that the Defendant did review the terms of his retainer again on September 21, 2001 and that the Plaintiff did not change her instructions to him. I disagree that the conversation was pivotal in the sense that the Plaintiff had already instructed the Defendant to proceed only on the disability claim and unless in this call she had given him different instructions, which is not alleged, nothing changed with respect to the retainer. I also find that the Defendant did not write to the Plaintiff to confirm that he was not retained to handle a motor vehicle or accident benefits claim.

[26] In October 2001, the Plaintiff received a reply from her brother-in-law's insurer, ICBC, by fax. The insurer pointed out that since he had been driving a rental vehicle, the insurer of that vehicle was the one she should contact. The Plaintiff testified that she had received this fax from ICBC at about the same time that she learned that her mother had unexpectedly passed away. The Plaintiff maintained that she called the office to advise of both the passing of her mother and the ICBC letter. She said that she spoke to Ms. Graham on the same day as she then faxed in a letter with respect to her mother's death. That letter was faxed after close of business on October 24 and was marked "received" and entered into the file docketed the following morning, October 25. Ms. Graham produced the entire telephone log for several days surrounding October 24 and

25 and there is no note of any telephone call from the Plaintiff. I accept Ms. Graham's testimony that had there been a telephone call she would have recorded it as was her practice. I find on balance of probabilities that no such phone call was made and that no one in the Defendant's office was made aware of the letter from ICBC until December 2004, after the chance meeting between the parties.

[27] This is consistent with the Plaintiff's earlier decision to handle the accident benefits herself. She had, by this time, a well established practice of forwarding materials on to the Defendant that were relevant to the case he was handling for her. Had she been of the view that he was handling either a motor vehicle claim or an accident benefits claim on her behalf, I find that she would have enclosed this letter to him at the same time as she wrote to advise of her mother's death. The Plaintiff testified that she assumed that the Defendant would already have received this letter from ICBC directly due to having notified them that he was taking over the case for her. This is not supported by evidence. The Defendant never wrote any such letter and had he, the Plaintiff would have received a copy of it in accordance with his practice of copying all relevant correspondence to her. The Plaintiff also supported her assumption by saying that when she told Ms. Graham about the letter, Ms. Graham responded "OK" in a way that implied that the office had this well in hand, would attend to it, and did not ask her to send in a copy of the letter. I have found that no such conversation took place, and even had it, this inference cannot reasonably be supported from the word "OK".

[28] There is no specific telephone conversation, meeting or correspondence that can be pointed to that describes a retainer for a potential motor vehicle or accident benefits claim. The Plaintiff relies upon what she said during the August 2 telephone conversation in combination with a letter written by Dr. Cregan and a meeting she had with the Defendant's legal assistant as being sufficient to establish such a retainer.

[29] The Plaintiff submits that the letter written by Dr. Cregan to Clarica dated June 28, 2002 was sufficient to clarify for the Defendant that she intended and thought that he was pursuing a motor vehicle claim on her behalf. In that letter, Dr. Cregan described the injury the Plaintiff had sustained in the motor vehicle incident. He went on to outline her symptoms, treatment and prognosis. The Plaintiff either mailed or hand delivered this letter to the Defendant's office. There is simply no way that the doctor's description of the motor vehicle incident could be taken as indicative of a retainer between the parties on this issue or even that the Plaintiff intended to so retain the Defendant.

[30] The Plaintiff met with the Defendant's legal assistant, Alison Graham, on July 18, 2002. Ms. Graham placed a detailed memo of their meeting on the file. I find that the memo is accurate as to what transpired at this meeting. Under the heading of "Instructions" it notes that she "does not want to continue receiving monthly benefits. She wants a lump sum buy out. Dealing with the insurance company is putting additional stress on her that she is unable to cope with." And in the next numbered paragraph of the memo to file the Plaintiff is said to have wanted the Defendant to "utilize [Dr. Cregan's] report with supporting documentation which details the side effects of all the medications she is taking to try to obtain a buyout on her behalf."

[31] The Plaintiff interprets this as confirmation that she was instructing the Defendant to proceed on the motor vehicle and accident benefits claims. As noted above, her first reason is that Dr. Cregan had described the motor vehicle incident and her related injuries in his letter and she had instructed on July 18 “to utilize” the letter. Her second reason is that she says “buyout” refers to a buyout of all of her claims arising from the injury not only a buyout from Clarica. She says that this is apparent because the note does not specifically say “Clarica,” and because she had told the Defendant during their initial conversation in August that she wanted to pursue whatever compensation she could from whatever source.

[32] I, however, have found that the Plaintiff did not tell the Defendant during their August 2 telephone call that she wanted him to pursue all possible claims on her behalf. The memo of the July 18 meeting does not actually refer to any claim other than against Clarica. All of the correspondence between the parties refers specifically and only to a “buyout” in relation to the Plaintiff’s wish to obtain a buyout from Clarica of her long term disability benefits. The memo to file outlining the July 18 meeting with Ms. Graham taken as a whole, clearly refers to obtaining a buyout from Clarica and cannot be interpreted as the Plaintiff would have it, as also referring to other potential claims. Neither the letter from Dr. Cregan nor the discussions between the Plaintiff and Ms. Graham at the July meeting either alone or in combination provide evidence of a retainer between the parties that the Defendant would act on a motor vehicle claim or pursue accident benefits for the Plaintiff. It is important to add that I also find that neither Dr. Cregan’s letter nor anything said by the Plaintiff during the July 18 meeting amounted to a communication by her that she thought that the Defendant was acting for her on these matters, or that she wanted him to.

[33] These findings are supported by the fact that after the settlement of the Clarica disability claim in a buyout and after the resolution of the Small Claims Court matter, there was no contact whatsoever between the parties for almost one year. I find that the Plaintiff did not call or write the Defendant at any time asking for an update on either a motor vehicle or accident benefits claim. The testimony and record keeping of Alison Graham was impeccable and I accept that had any such telephone inquiries been made by the Plaintiff, they would have been reflected in her phone logs or in a memo to file, and no such records exist. In contrast, during the course of the retainer on the disability claim there are notes and records of the Plaintiff making inquiries with respect to it.

[34] In cross-examination, the Plaintiff stated that by the end of January 2004 she received the Defendant’s final bill and other than the Small Claims matter which was finalized in under a month, she felt that their relationship was at an end. She was, therefore, not surprised that there were no communications between them either way, right through to the chance meeting in December 2004. She was re-examined with respect to this testimony and explained that what she had meant was that the Clarica and Small Claims matters were finalized and there was no contact after that until December. I concluded that these answers, at the very least, impacted on the reliability of the Plaintiff’s testimony. Her answers in cross-examination were clear and unqualified and the attempt to limit them did not go to the heart of the matter, namely whether the solicitor-client relationship was or was not at an end.

[35] The Plaintiff relies on alleged deficiencies in the Defendant's conduct of her file in support of her contention that her description of the retainer should be preferred to his. He never met with her until May 14, 2002. This is certainly unusual. His time dockets only record meetings of a total of one and one-half hours over the period of the retainer, easily less than might have been expected. These factors do not have a bearing on the reliability of his evidence. She was also very critical of his handling of the Clarica settlement. She denied receipt of his letter dated October 27, 2003 regarding Clarica's proposal. She denies ever instructing him to settle for \$100,000 and says that she only signed the release because he told her it was a "done deal" and she had no choice. She maintains that she told him she needed more than \$100,000 and that he should seek more, but that he accepted \$100,000 anyway and told her he could not retract it. Her recollection was that he came to her apartment on November 12, stood in the hallway and had her sign the paperwork there because he was in a hurry.

[36] The Defendant's testimony was that his negotiations of the buyout were oral but that the Plaintiff was informed, that they discussed the terms and she instructed him as to the points he raised with Clarica in his letter of October 27, 2003. He also testified as to a "curve ball" from Clarica outlined in the e-mail to her dated November 6 which clearly provided the Plaintiff an "out" from the deal if she wanted it. I do not accept that the Defendant settled the buyout without instructions from the Plaintiff and told her she was stuck with it in the face of a clear opportunity to walk away from the settlement on November 6. The Plaintiff knew throughout based on what the Defendant had told her that Clarica was under no obligation to enter into a buyout with her, that so doing was purely discretionary on its part. I find that she was at all times aware of her option to simply continue to receive her monthly LTD payments and knew she was under no compulsion to accept its offer of \$100,000 as a buyout.

[37] Dr. Cregan's note of January 20, 2004 states that the Plaintiff told him:

Pt had settlement [with] disability
wanted to tell me she got \$100,000
(I am not quite sure why?), happy [with] settlement
still not happy
apparently was offered a job @ her ex-
lawyer's office (felt she could help him?)
only when she is ready
-was offered her old job back @ Clarica
but declined, didn't feel they respected her

[38] The Plaintiff denies telling him she was happy with the settlement. I am persuaded on balance of probabilities that she did, otherwise it would not appear in his note. I also note the reference to the Defendant as her "ex lawyer."

[39] There were many other factual issues raised in the hearing. I will to refer to some of them to explain how and why I concluded that the Plaintiff's testimony was unreliable in so many aspects as to affect its overall reliability. The Plaintiff had trouble with dates and the

timing of when certain events occurred. She referred to April 6 as the date of the motor vehicle incident until well into the litigation. She maintained that she and the Defendant discussed a 20 percent contingency fee arrangement during their first telephone call in August 2001. There is no note of this in the Defendant's file. I accept his testimony that this was not discussed until much later on. His testimony is confirmed by the fact that his September 13 letter to the Plaintiff asks for a \$500 retainer and sets out an hourly rate of \$200 with the expectation of accounts being rendered from time to time.

[40] The Plaintiff testified that in August 2001, the Defendant told her she would be his only client. Ms. Graham confirmed that the Defendant had between 20 and 30 clients at that time. I accept the Defendant's testimony that in May 2003 when he was closing his practice in order to work elsewhere and the Plaintiff prevailed on him to keep her case, this is when he told her she would be his only client.

[41] The Plaintiff testified that after the motor vehicle incident she saw Dr. Cregan and told him what had happened. This is not confirmed in his consult note for either their first or second meetings. Dr. Cregan's notes reflect that the Plaintiff told him that she had been doing spring cleaning, slept three nights on the couch and then began to have back pain. His note specifies "no trauma or injury." The Plaintiff maintains that she only mentioned spring cleaning after describing the motor vehicle incident and when asked to give information about other activities she had performed around the same time. But Dr. Cregan confirmed that, had he been told about the pothole incident, it would have been his practice to record it in his notes and that to the best of his recollection the first time he learned about it was in letter he received from another doctor dated June 20, 2001.

[42] The Plaintiff also attended at the emergency room at the Queensway Carleton Hospital between the dates of these first two meeting with Dr. Cregan. The emergency room physician's note also makes no reference to the incident and did not note the information with respect to sleeping on the couch for three nights. I find that the records of these two medical doctors are more accurate as to what the Plaintiff told them on these occasions in terms of the causation of her injuries than is her recollection of what she told them.

[43] Aspects of the Plaintiff's testimony were inconsistent with answers that she had given on examination for discovery. In court, she explained that she completed the Short Term Disability application form to the effect that no other party was at fault in her injury because a Clarica staffer had told her this only referred to fault in occupational accidents. However, on examination for discovery, the Plaintiff testified that when she had given this answer on the application form, it was in fact an error, made because of all the medications she was on.

[44] On other occasions the Plaintiff attempted to explain or restrict her testimony in ways that appeared constructed. For example, she had answered at examination for discovery that she had contacted a lawyer in August 2001 because Clarica was not paying her. In court she testified that this was only one of the reasons she had sought legal advice and pointed out that she had not said nor been asked if it was the "sole" reason.

[45] The September 13 letter that the Defendant sent to her stated:

I am also going to require from you a signed Direction and Authorization to obtain medical information and information from Clarica, copies of which are attached for your signature.

[46] In testimony, the Plaintiff maintained that this letter had enclosed other directions, not just for Clarica. She relied on this in support of the Defendant's knowledge that she intended to pursue other claims. No such directions have been produced by either party to the litigation. The Plaintiff supported her testimony by noting that in her reply letter she enclosed signed "forms" not "signed Clarica forms." She also maintained that the Defendant's own letter made it clear that the enclosure was not just more than one copy of the same form to Clarica, a meaning which the letter clearly cannot bear. My impression was not one of a witness intentionally trying to mislead the court, but rather of one attempting to retrospectively reconstruct documents and events, in ways that simply do not stand up to scrutiny.

[47] For all of these reasons, I accept the testimony of the Defendant that the retainer between the parties was as set out in the letters of September 13 and 15, 2001, and as subsequently expanded to include instructions to obtain a buyout from Clarica. I find no ambiguity concerning the scope of this retainer.

The Law

[48] The scope of a lawyer's retainer is a factual issue. Where an issue arises as to the scope of the retainer and the retainer has not been reduced to writing, there is an onus on the lawyer to satisfy the court that his or her version of those terms is the correct one: *Rye and Partners v. 1041977 Ontario Inc.*, [2004] O.J. No. 2480 (C.A.).

[49] It is not the case that whenever there is a conflict in evidence between a client and a lawyer that the client's version must be preferred. This may be the case where "all other things are equal," (*Dinevski v. Snowden*, 290 ONSC 2715 (Sup. Ct.); where there is a doubt or ambiguity about the terms of a retainer (*PCF Acquisition Corp. v. Gowling, Lafleur, Henderson LLP*, [2008] O.J. No. 1699 (Sup. Ct.); and only "to the extent the evidence will permit" (*Lodge v. Deloitte & Touche*, [2001] B.C.J. No. 2508).

[50] Here, there is written confirmation of the retainer between the parties for the Clarica matter. The only retainer found by the court is set out in writing in the September 13 and 15 letters. That retainer is clear and unambiguous.

[51] The court is also entitled to consider the delay by the Plaintiff in making a complaint to the Defendant about his failure to get back to her or take steps about the motor vehicle and accident benefits claims. In *Woodglen, supra*, the court noted a three month delay by the Plaintiff in notifying the Defendant lawyer of information received from a third party on an issue he later said the lawyer was responsible for. The assertion of negligence was not made until over two years later. The Court of Appeal upheld the trial judge's findings that:

[t]he trial judge did not accept the appellant Manchester's explanation for this delay, namely that he was reluctant to sue a lawyer. She held that the real reason for the delay was that Manchester did not consider that the respondent Owens was responsible and therefore had no reason to advance the claim.

[52] In *Lioris v. Mahler*, [2005] O.J. No. 59 (Sup. Ct.), the court noted the significance of the fact that the client never wrote to express a concern with the lawyer's subsequently impugned conduct:

79 On March 1, 1996 Mr. Mahler received a letter from Mr. Lioris asking him to return the file. The letter says nothing further. There is no reference to Mr. Lioris's belief that Mr. Mahler acted without instructions in dismissing the action. If this is what Mr. Lioris truly believed this was an opportunity for him to put it in writing. He had met with Mr. Mahler on February 16 and knew that Mr. Mahler believed he had instructions. The fact that Mr. Lioris never took the time to confirm his position when he was quite capable of writing such a letter, is yet another reason to conclude that his evidence is unreliable and not to be preferred over Mr. Mahler's.

[53] I have found no communications were made from the Plaintiff to the Defendant with respect to the status of a motor vehicle or accident benefit claim after the disability retainer was entered into, including up until almost one year after that retainer was complete. This supports the inference that she had not retained him on these other matters.

[54] The Plaintiff has also submitted that she should succeed because the Defendant did not reduce to writing in unambiguous terms that he was not acting for her in respect to the motor vehicle or accident benefits claims, and that so doing was particularly necessary in her circumstances where she was disabled, on medication, unable to communicate directly with her insurer Clarica and inexperienced in legal matters. Legal advice should be given in terms appropriate to the comprehension and experience of the client. There is equally no doubt that a written document will serve to prove precisely the advice given.

[55] The issue raised then is whether the Defendant was required to put into writing confirmation of his non retainer on the other matters. I have found that the Defendant did address the Plaintiff with respect to her other potential claims, orally, and I do not agree that he had a legal duty to put into written form that the Plaintiff had not retained him on them. It would clearly have been preferable for him to have done so. The Defendant's opinion that the Plaintiff did understand what he was saying to her and did not retain him in these matters is borne out by her explanation of why she did not wish to sue her brother-in-law as an at fault driver and by her conduct in contacting his insurer directly.

[56] The failure to send a letter for non retainer does not demonstrate a breach of the standard of care. Such a letter is in reality for the benefit of the lawyer to protect against potential liability. A letter of non retainer should be distinguished from a letter limiting a retainer. This

phrase has a special, technical meaning. A limited retainer is one which limits the retainer to a scope less than that required of a reasonable competent and diligent solicitor. As stated in *ABN Amro Bank Canada v. Growling, Strathy and Henderson*, [1994] O.J. No. 2617 (Sup. Ct.):

18 Any attempt by a solicitor to limit his/her retainer to a scope less than that required of a reasonably competent and diligent solicitor should be done in simple, concise and precise language reduced to writing. Any ambiguity in any such communication, whether it be written or oral, should be resolved against the solicitor. To do otherwise is to leave a client without the quality of legal services he/she would otherwise be entitled to as a matter of law and the freedom to retain and instruct another solicitor of choice if so advised.

[57] Examples could include concluding a real estate transaction without search of title, or providing advice on a separation agreement without obtaining financial disclosure. Plaintiff's counsel agreed that this case is not one of a limited scope retainer in the proper sense of the term.

[58] The next issue is whether the Defendant owed a duty to the Plaintiff to give her advice on matters outside the scope of the retainer, namely the potential motor vehicle claim, the accident benefits claim, and the applicable limitation periods. On the facts as I have found them, the Defendant did alert the Plaintiff on August 2 and September 21 to the other possible claims available to her and there is no opinion evidence or case law authority before this court that his duty to her based on the retainer for the disability claim only, extended to or beyond that.

[59] The Plaintiff relies upon the decision of Himel J. in *Lenz v. Broadhurst Main*, 2004 CarswellOnt 333 in support of the alleged duty of care. At paragraphs 52 and 53 she stated:

52 While the standard of care is related to the scope of the retainer, whether a lawyer's duties extend beyond the limitations of the retainer must also be considered. Liability may hinge on the difference between a lawyer's limited duty to remain within the confines of the retainer and his broader duty to protect the interests of his client. In the decision of *Elcano Acceptance v. Richmond, Richmond, Stambler & Mills*, [1985] O.J. No. 271 (Ont. S.C.) (set aside by the Court of Appeal on other grounds, 55 O.R. (2d) 56, Smith J. stated that:

An analysis of the cases and their majority and dissenting opinions indicates to me that in applying the reasonably competent solicitor standard to the facts of each case, the courts are really implicitly asking themselves the questions: What did the client expressly ask for? What did the client really want?' The rule of construction the courts implicitly use is that, given the nature of the solicitor and client relationship, a court will give the client's express instructions a liberal and broad construction. ... The solicitor has a duty to advise the client whether or not his instructions are unreasonable, or unworkable, or involve certain risks and better alternatives.

53 The absence of any written documentation to confirm a limitation of the scope of the retainer is a relevant, yet not dispositive, consideration: see 669283 Ontario Ltd. v. Reilly, [1996] O.J. No. 273 (Ont. Gen. Div.). If a dispute arises as to the scope of the retainer, and it is not in writing, the onus of proof lies upon the lawyer: Bergman v. Williams (1980), 22 B.C.L.R. 317 (B.C.S.C.).

[60] Counsel for the Plaintiff relies upon this decision as authority for the proposition that the lawyer's duty does extend beyond the scope of the retainer. Himel J. relied upon the trial decision in *Elanco Acceptance Ltd. v. Richmond, Richmond, Stabler & Mills*, [1985] O.J. No. 271. That judgment was reversed on appeal for reasons unrelated to the issue at hand. However the Court of Appeal expressly refrained from agreeing or disagreeing with any of the trial judge's reasons because a new trial was ordered.

[61] In any event, in my view, the paragraph in *Elanco, supra* immediately following the one quoted by Himel J. in *Lenz v. Broadhurst Main, supra* must be read in order to understand what was actually being said in *Elanco, supra* on this particular point:

It seems to me obvious that if a client requests that a solicitor draft a document, he wants the solicitor to draft a valid and enforceable document, and that if he informs the solicitor that he wishes to pursue a course of action, he wants to pursue a course of action that is reasonable and workable. Therefore, the solicitor has a duty to advise the client whether or not his instructions are unreasonable, or unworkable, or involve certain risks and better alternatives.

[62] In my view reading these two paragraphs from *Elanco, supra* together does not give support to the existence of a duty of care beyond the retainer but rather to a duty within the retainer not to simply accept instructions blindly but rather to advise as to the wisdom of them, the legality of them and so forth, all still within the scope of the retainer.

[63] Further without reviewing in detail all of the cases referred to by the trial judge in *Elanco, supra*, it may be said that he disagreed with some and preferred dissenting opinions in others. One in particular was the dissenting opinion of Lord Denning in *Griffiths v. Evans*, [1953] All E.R. 1364 (C.A.). In *Griffiths, supra*, a workman was injured at work and received workers compensation which he feared might be reduced or terminated. He consulted a lawyer who advised him to collect the payments until they were changed and then to come back. At that time, the lawyer negotiated a lump sum buyout. The workman later sued the lawyer for failing to advise him of his common law right to sue in negligence. The majority held that the lawyer had not been negligent because the client had asked for advice with respect to workers compensation and not for general advice. Lord Denning dissented. This case was discussed by Hoilett J in *Coughlin v. Comery*, 1996 CarswellOnt 686. Hoilett J points out that the basis of Lord Denning's dissent was found in his broader view of the nature of the retainer. Lord Denning stated as follows:

The duty of a solicitor depends, of course, very much on what he is employed to do. On this question of retainer, I would observe that where there is a difference between a solicitor and his client on it, the courts have said for the last hundred years or more that the word of the client is to be preferred to the word of the solicitor, or, at any rate, more weight is to be given to it. The reason is plain. It is because the client is ignorant and the solicitor is, or should be, learned. If the solicitor does not take the precaution of getting a written retainer, he has only himself to thank for being at variance with his client over it and must take the consequences.

[64] I agree with Hoilett J. that it is clear from the foregoing that Denning L.J.'s view was that there was conflict between the parties as to the scope of the oral retainer and that the evidence of the Plaintiff should therefore be preferred. Those are not the facts here.

[65] In *Coughlin, supra* it was submitted that *Griffiths, supra* was, as one of the majority justices in it stated, a "borderline" situation and that it would be decided differently today. However, neither *Coughlin, supra* nor *Griffiths, supra* have been overturned.

[66] The facts in *Coughlin, supra* are similar to those at hand. In that case, the plaintiff sued a lawyer for failure to advise him in relation to causes of action he allegedly had against a tavern as result of a slip and fall in its premises. The incident occurred in December 1980. Soon after the injury the plaintiff applied for and received disability payments. They were discontinued in July 1984 at which time the plaintiff consulted the lawyer to have them reinstated. At trial both parties called expert evidence. The trial judge summarized the expert opinion presented on behalf of the plaintiff. That opinion was that, notwithstanding the fact that the plaintiff's consultation with the defendant lawyer was in respect of the termination of his benefits under a policy of insurance, the defendant was obliged to explore the history leading up to the injury and to alert the plaintiff to other possible causes of actions and remedies that were probably available to him.

[67] The trial judge, Hoillet J., rejected that opinion. He found that the standard it espoused was commendable but represented an extraordinary not the standard practice. He stated at ¶35:

There was no ambiguity concerning the scope of the defendant's retainer. It is true that had the defendant launched into a full-scale investigation, the plaintiff may have benefitted but the defendant's conduct must be viewed prospectively from the point of view of someone in his position at the time, and not retrospectively.

[68] Hoillet J. accepted the opinion evidence presented on behalf of the defendant that because the plaintiff had retained him with respect to his rights under the policy of insurance, there was no obligation for him to provide advice beyond the scope of that retainer. This decision was upheld by the Ontario Court of Appeal at 1998 CarswellOnt 3958. In so doing the Court stated at ¶2 that the trial judge had accepted as more reasonable the opinions of the experts called by

the defence and had accepted their evidence that the defendant's conduct was in accordance with the standard to which they had testified. The Court of Appeal noted, "In our assessment, there was evidence on which the trial judge could appropriately make those findings and reach those conclusions, and this court cannot appropriately interfere with them."

[69] It is important to note that the Plaintiff here did not present any opinion evidence to support her alternate position that the duty of the solicitor extended beyond the scope of the retainer. In view of the well settled law that the duty is directly related to the confines of the retainer (see *Midland Bank Trust Co. v Hett, Stubbs & Kemp*, [1978], 3 All E.R. 571), it was incumbent upon her to do so. General statements to the effect that the lawyer has a duty to protect the interests of his or her client are to be read as applicable to the scope of the retainer and not as broadening it. If in this way I disagree with Himel J. in *Lenz v Broadhurst Main*, *supra*, then with respect I do disagree. However, as previously noted, I am not persuaded that her decision stands for the proposition asserted by the Plaintiff in any event. For example, at ¶62, Himel J. also states:

In an action for negligence, while the solicitor's standard of care is to be judged within the confines of the retainer, the lawyer is required to carry out both the express terms of the client's instructions, as well as the implied obligation to exercise reasonable skill and care: see *Woodglen & Co. v. Owens*, (1996) 19 O.T.C. 81 (Ont. Gen. Div.), *aff'd* (1999) 126 O.A.C. 103 (C.A.).

[70] The Plaintiff relies upon *Millican v. Tiffin Holdings Ltd.*, [1967] S.C.R. 183, *aff'd* 49 D.L.R. (2d) 216 where the trial judge set out the obligations of a lawyer as follows:

10 The obligations of a lawyer are, I think, the following: (1) To be skilful and careful; (2) To advise his client on all matters relevant to his retainer, so far as may be reasonably necessary; (3) To protect the interests of his client; (4) To carry out his instructions by all proper means; (5) To consult with his client on all questions of doubt which do not fall within the express or implied discretion left to him; (6) To keep his client informed to such an extent as may be reasonably necessary, according to the same criteria.

[71] "To protect the interest of [the] client" must, in my view, be read as within the scope of the retainer. Put another way, this general statement does not expand the well established law that the lawyer's duty is defined by the scope of the retainer. This is also made clear by the Supreme Court of Canada in a leading case on professional liability, *Central Trust Co., v. Rafuse* (1986), 31 D.L.R. (4th) 481 (S.C.C.) at 523, "A solicitor is required to bring reasonable care, skill and knowledge to the performance of the professional service which he has undertaken." (Emphasis added.) See also *Woodglen & Co. v. Owens*, 1996 CarswellOnt 4507 (Sup. Ct.) at 52 where they quote from *Cordery on Solicitors*, 1995 London, Butterworths, J101-J102:

The retainer when given puts into operation the normal terms of the contractual relationship, including in particular the duty of the solicitor to protect the client's

interest and carry out his instructions in the matters to which the retainer relates, by all proper means.

[72] See also *Marques v. Alexander*, [2001] O.J. No. 1629 (Sup. Ct.) at ¶41: “A lawyer also has a duty to provide complete advice, in order to ensure that the client makes fully informed decisions on all matters relevant to the retainer: Grant and Rothstein, *supra*, at page 20.”

[73] For these reasons, I find that the retainer was clear and in writing in the exchange of the two letters between the parties and that the Defendant’s retainer did not extend to providing advice on the other potential claims available to the Plaintiff.

Decision

[74] Based on these findings, the action is dismissed. If the parties are unable to agree on costs, written submissions should be made to me by the Defendant on or before January 31, 2011, by the Plaintiff on or before February 15, 2011, and a brief reply by February 21, 2011.

J. Mackinnon J.

RELEASED: January 17, 2011

CITATION: Broesky v. Lust, 2011 ONSC 167
COURT FILE NO.: 06-CV-35444

ONTARIO

SUPERIOR COURT OF JUSTICE

B E T W E E N:

ROSALYN BROESKY

Plaintiff

- and -

ARTHUR LÜST

Defendant

REASONS FOR JUDGMENT

J. Mackinnon J.

RELEASED: January 17, 2011